
“Even a very successful business cannot become the number one in everywhere. A business needs to identify where it is good at.”

Explain the statement using the concept of competitive advantage

A top-down view of a workspace. In the upper left, a portion of a silver laptop is visible, showing its keyboard and trackpad. To the right of the laptop is a white ceramic cup filled with dark coffee, with a red handle. Below the cup is a white computer mouse. In the lower left, there is a dark brown leather-bound notebook and a pair of tortoiseshell-rimmed glasses. The entire scene is set against a dark, muted blue-grey background.

Business & Environment

IS 1110 BUSINESS FOUNDATION

M.B. MUFITHA

Senior Lecturer

DEPARTMENT OF IDS

FACULTY OF IT

UNIVERSITY OF MORATUWA

Write SWOT for yourself

- 1. How many of you started from SW than OT?**
- 2. Did you rank each item under each category? (are all equally impacting you?)**
- 3. How many of them are referring to the past of your life?**
- 4. Do they match with the current reality of your life?**
- 5. Does your SWOT provide enough information/guidance to decide on a strategy to face reality in life?**
- 6. Are threats really threats?**
- 7. Are weaknesses really matter in current reality**
- 8. Are strengths really benefitting you with current life**
- 9. How many of you jumped into opportunities without really identifying true potential/challenges?**

Find already prepared SWOT for following companies

- Google
- Microsoft
- Apple

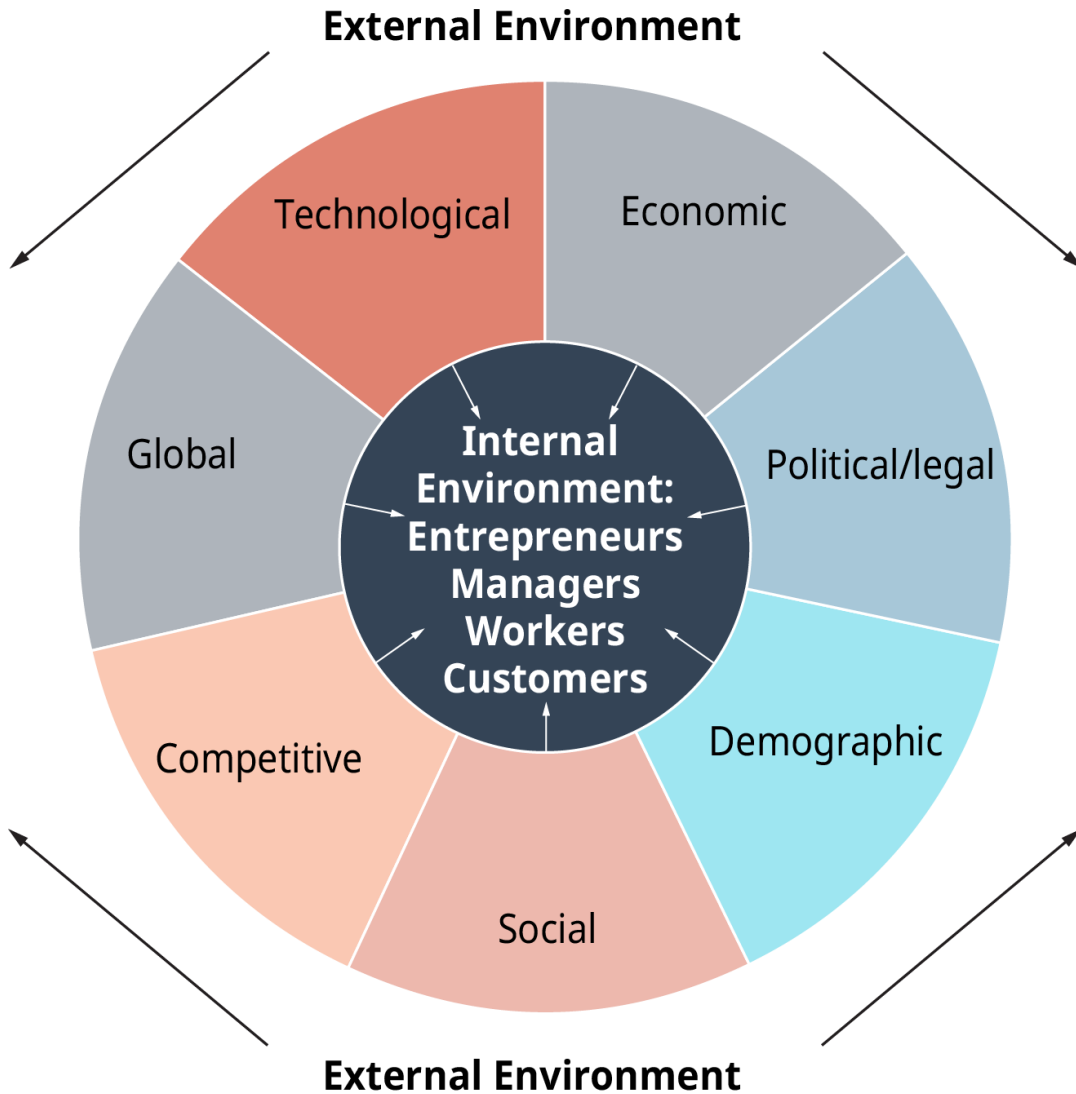
Business and environment

Stakeholders:

1. Internal Stakeholders
2. External Stakeholders

Assessment of business environment is needed to;

Decide on strategies of the business/a business unit, a product to introduce



Topic Coverage

5.1 Assessing business environment

- Corporate appraisal

- Position Audit

- Generic strategies

- Product - market mix

5.2 Methods to grow a business

- Organic growth/Internal development

- Acquisitions

- Merges

- Joint ventures

- Business alliances

- Franchising

5.3 Disruptive businesses

5.4 Social era of business

5.5 Strategic concerns of startup companies

Assessing Business Environment

Corporate appraisal: Assessing internal readiness to face outside reality to come up with a strategy

A corporate appraisal is a measurement of the readiness of that corporation's internal culture to deal with external environments and change

Building your ToB:

Checking reality and **assessing your readiness** considering all around the business to be a better business as you define

Corporate Appraisal (SWOT)

What is a strategy ?

Courses of action to meet objectives which includes specification of resources



Strategy: Performing activities different from rivals' or performing similar activities in different ways.

Michael Porter states that a company can outperform rivals only if it can **establish a difference it can preserve**. It must deliver greater value to customers or create comparable value at a lower cost, or do both

Strategic Management

Agreed strategies;

Development

Implementation

Control

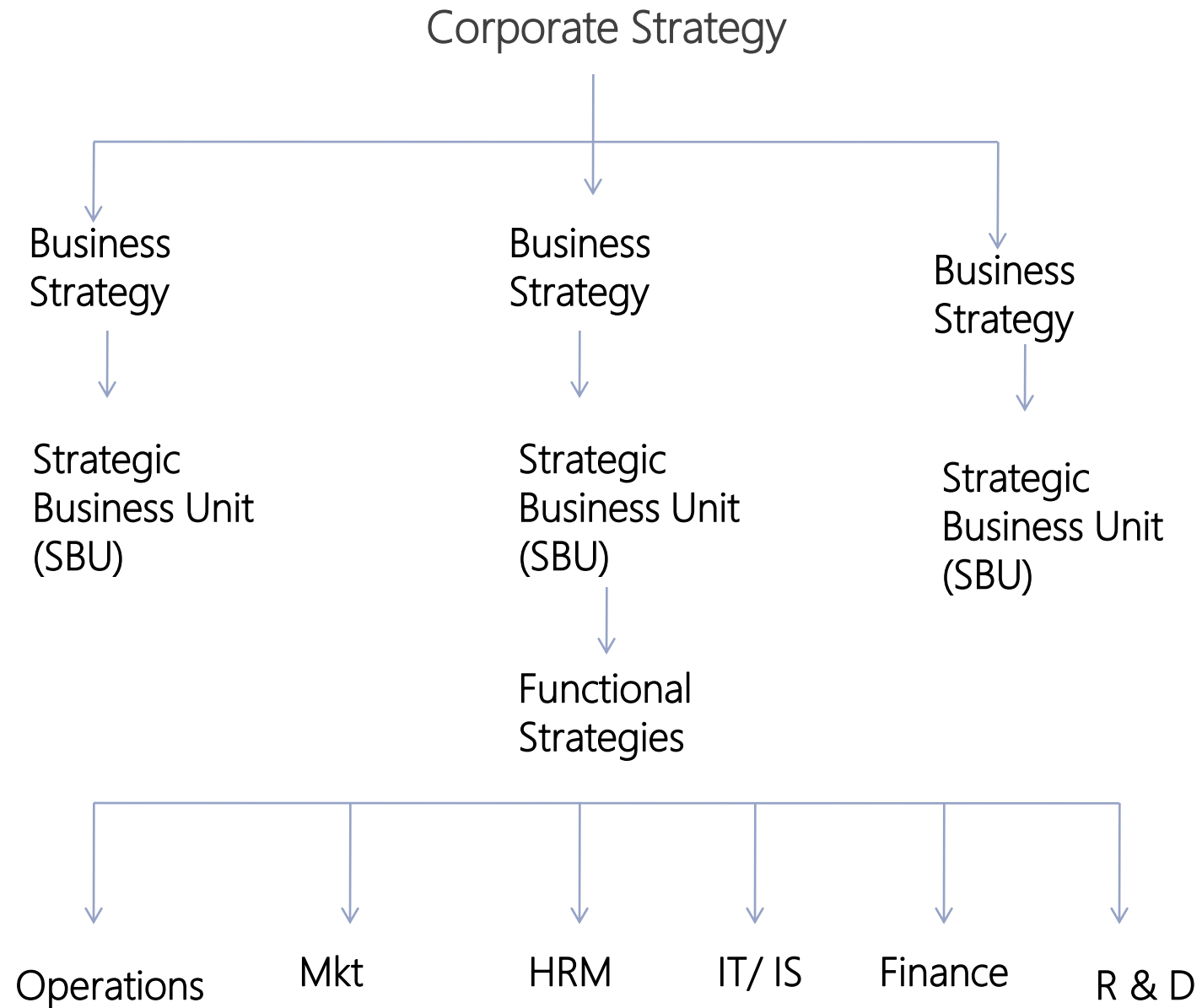
Includes;

Analysis – this is only we can teach you

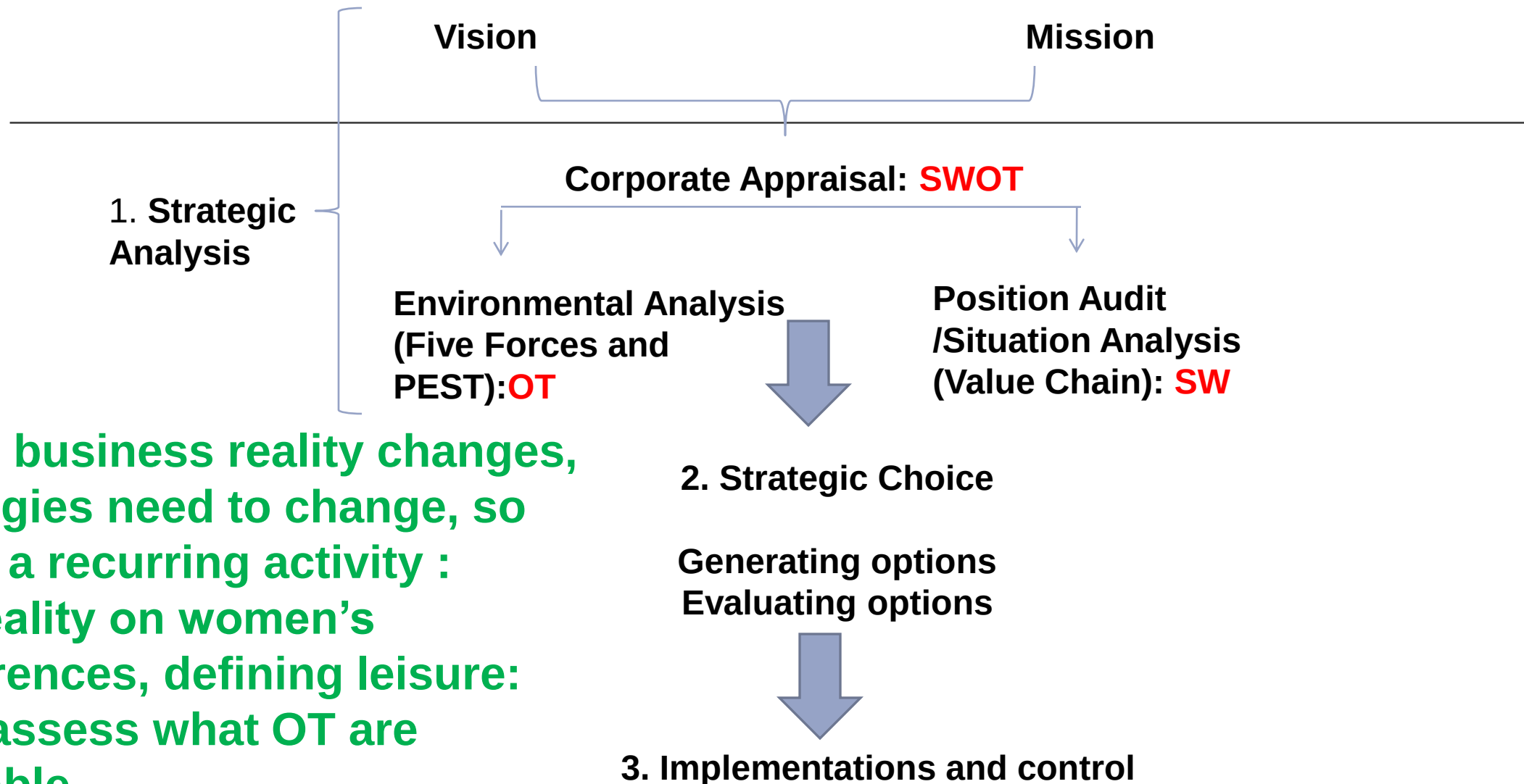
Choice – companies won't reveal these

Implementation

Control

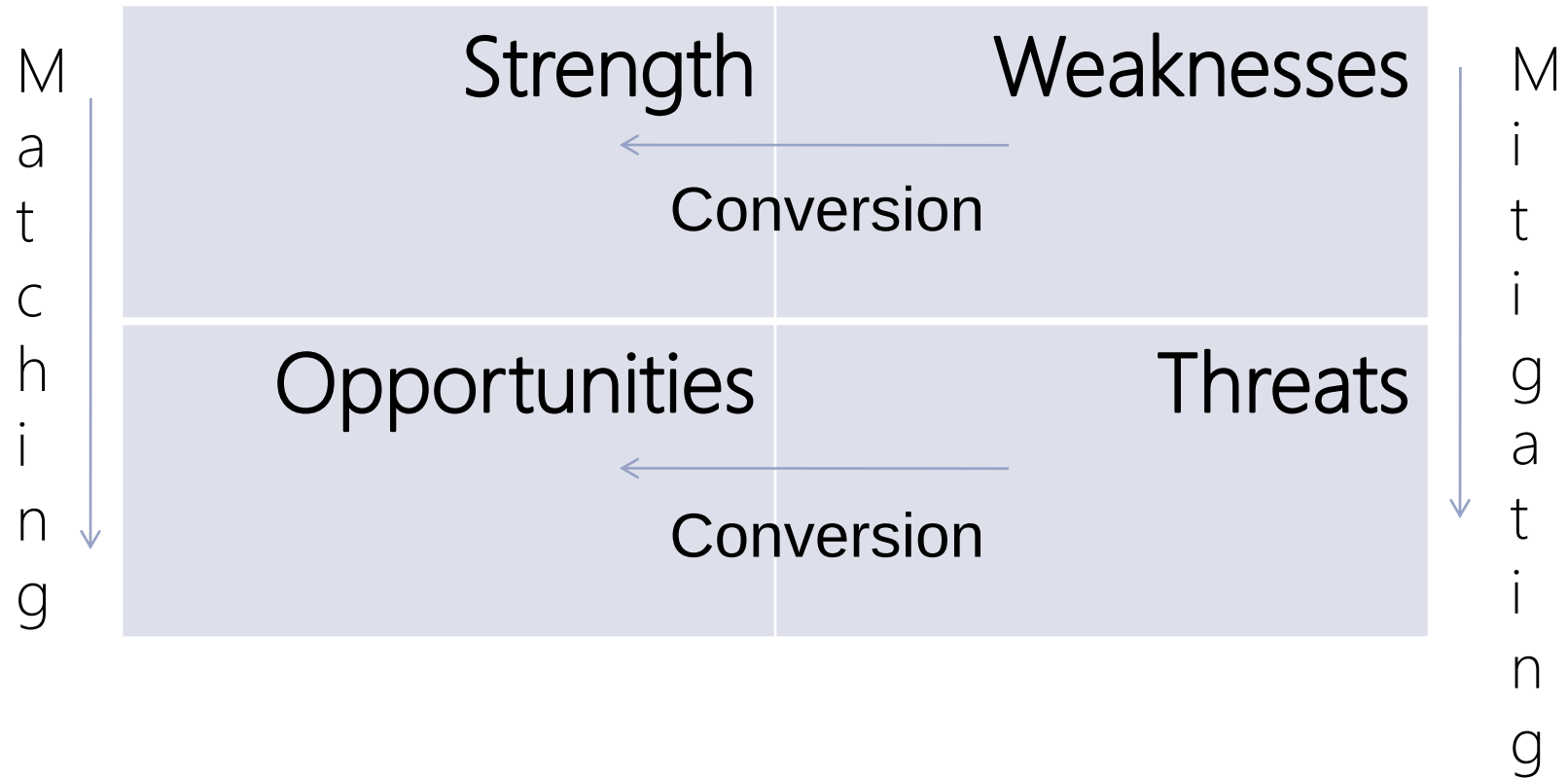


Strategic Planning Model for Businesses



Corporate Appraisal (SWOT)

Corporate appraisal is a recurring activity



Corporate Appraisal: Where companies can go wrong

Take whole business reality as a bulk and list SWOT

Ideal way:

Take one reality at a time and look for SWOT for a given scenario

Will SWOT do all it for a business?

A new perspective on SWOT

The issue with existing approach to SWOT:

1. It lists just 4 individual lists (S,W,O,T) without a rank
2. Significance/ impact compared to others in a list is disregarded
3. As a result, any one factor's true impact on the objective can not be determined
4. Biasness in data collection can impact the end result/weighing each factor
5. Identified S,W,O, T can quickly out date

Ex: claiming as an industry expert and join academia, after 5 years, it is not a strength. So, outdates

Ex: Identifying pivotal talents as a strength

Steve Job's dismissal, SL TV presenters were acquired by competitors

Solution

A new approach to SWOT

A multi-layered SWOT analysis

Key questions to ask

1. What does a company do well? Strength is in technical expertise, people, dominance in the market, etc.?

2. How do capitalize on it? (need to market what on, what is good at and succeeded in doing)

Examples Apple gave up some offers to stay focused on what they are good at

IBM realized they are good at mainframes: an advanced version of it

3. What opportunities are out there? (to grow/expand)

Expansion into a new vertical with existing applications

Take business into a new geography

Expand the portfolio of offerings with another product line

Solution

A new approach to SWOT

A multi-layered SWOT analysis

Always let your statistics
speak: measurable & unbiased

Key questions to ask

4. What sets the business apart from competition?

Does the business have more resources, more experience, tighter vendor relationships, better software?

5. What does competition do well? Everyone has something they do better than your company

Being honest will help in determining as how to combat

6. Why would a customer buy from the business over a competitor?

7. How does the business neutralize the threat?

What can you do to advertise yourselves without disapproving the competition? (checking the reality and effort to neutralize the effect vs ignoring the reality)

SWOT: Are businesses doing it right?

“SWOT is not really an analysis or diagnosis at all”

“It is simply list and categorization of the internal and external situational factors related to the subject that you’re evaluating, usually produced during a group brainstorming session”

“The resulting document is typically less than insightful and does not offer a clear path to action. It is simply an elegant organizational tool. That might be part of its attractiveness — besides its catchy acronym — and a key reason for its popularity”

Source: HBR (February 23, 2021): <https://hbr.org/2021/02/are-you-doing-the-swot-analysis-backwards>

1. The traditional 2 x 2 grid layout for the analysis, which encourages users to present all of the information on a single piece of paper: thus, lack detailed information

Ex: “price” might be listed as a strength, weakness, opportunity, and threat without any further explanation (whether the price is too comparatively high, if competitors can undercut it, if a firm can run a promotion, or any other factor related to pricing)

2. SWOT analysis is surprisingly difficult to interpret, primarily because of the lack of a hierarchy within four quadrants (emphasized equally)

“It is merely a snapshot of the current situation — or, worse, a snapshot of what’s currently on the minds of brainstorming session attendees”

3. Our natural instinct is to jump to solutions, particularly when it comes to listing opportunities. In too many cases SWOT users misinterpret what “opportunities” are, presuming that they are recommendations of “what could be done.”

Ex: A bicycle tour service provider (Park and ride related: O-bike):

Lists as an opportunity: “create a mobile application with a live map”

But this isn’t an opportunity in the SWOT sense of the word; rather, it is merely a recommendation that has not been fully processed.

The opportunity would be:

growth in the adoption of voice technology

Or mobile apps are becoming easier to develop, yet the competition isn’t using them



The solution: Reverse Engineering

The traditional approach of identifying internal factors first (strengths and weaknesses) and then moving to external factors (opportunities and threats) just isn't effective

Start with the external factors, then turn your attention to the firm's internal ones

Start from OT and then in line to that, look for SW

A business is good at tech may not be a strength everywhere. Compared to what reality which Strength of the business matters need to be identified

Why in reverse order?

1. The environmental conditions exist for all including the competitors: the external factors create the field for **competition** to take place
-

Thus, businesses must adjust their strategies to reflect it when it changes **(the reality)**

2. In relation to external factors only the relevance of internal factors determine
3. Focusing on external factors first can get the business think more broadly about internal factors **(reducing the risk of biasness)**

(This approach can lead a business to uncover internal factors that might not have otherwise considered)

Now the business had collected the inventory to decide on courses of actions ; that is strategy

1. Threats and Opportunities

First, gather an inventory of relevant environmental conditions — the threats and opportunities

At this stage, not to worry about whether these are positive or negative

Existing tools for environmental scan are;

PEST/PESTEL

STEEP (social, technological, economic, environmental, political)

PEST

2.1 Political and Legal

Political risk check list: by Jeannet and Hennessey

How stable the political system

How committed to rules

How long remain in power

Is it successful

Effects of unexpected changes of rules

If so what actions and decisions should be taken



Political Influence

Coca Cola in
India -
Video

Political Influence

No more
tuition for
kids



Factor

Example

Contract, Agency law

Criminal law

Company law

Employment law

Health & safety law

Data protection law

Tax law – Decides net profit

Environment related law

IT law

2.2 Economic environment

Factor

Impact

Growth in GDP – consumption patterns,

Wage rates – decides cost

Inflation – gold prices, inflation decides disposable income

Interest rates – borrowing rates

Tax levels – decides net profit, disposable income

Government spending (how much and on what) – infrastructure vs subsidies

2.3 Social environment

Demographic changes – Young population % vs elderly

Cultural differences – assumptions, values by each sub group

Business ethics – testing on animals

What people are concerned of these days;

Education – not to compromise

Travel, fashion - compromise

Convenience

Cost

Effect on environment

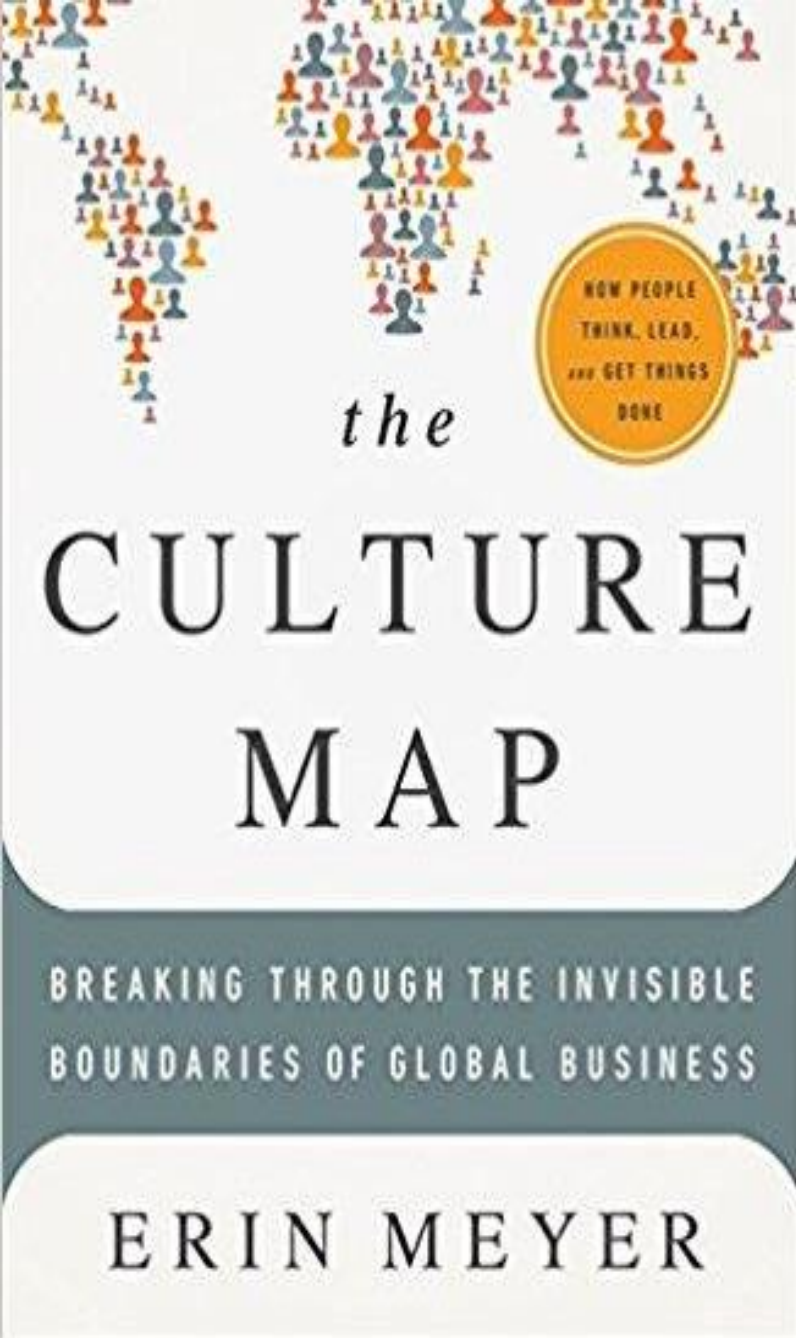


Sustainable Fashion



KFC in India vs Overseas





Find and read

“The Culture Map,” is an “eight-scale model” which should help managers and leaders of culturally diverse teams improve their effectiveness by offering them a platform to analyze the positioning of one culture relative to another and, thus, correctly decode the meaning of some actions and gestures.

(Ex: Artifacts to espoused values, values will help to understand segment & create more business opp, what information to collect from clients)

The eight scales in question – and the two extremes between which Erin Meyer scatters many of the world’s countries – are the following:

1. *Communicating*: low-context vs. high-context
2. *Evaluating*: direct negative feedback vs. indirect negative feedback
3. *Persuading*: principles-first vs. applications-first
4. *Leading*: egalitarian vs. hierarchical
5. *Deciding*: consensual vs. top-down
6. *Trusting*: task-based vs. relationship-based (Ex: doing in business in Japan)
7. *Disagreeing*: confrontational vs. avoids confrontation
8. *Scheduling*: linear-time vs. flexible-time

2.4 Technological environment

Types of products made

Production methodology

Ways of services provided – microchips, robotics

Identifying markets – DB systems/Data analytics

Management – home working, de-layering, people analytics

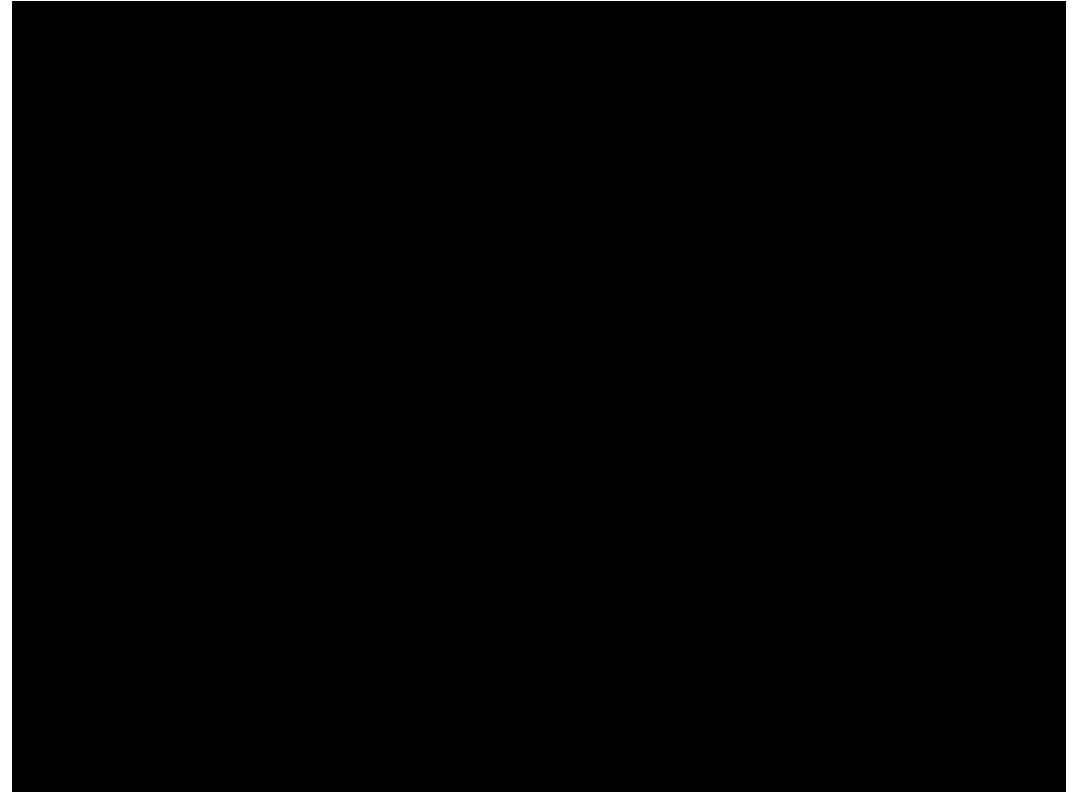
Communication – conferencing

Bill Gates Names 10 Breakthrough Technologies of year

.....

Linking Topics: Stakeholders and PEST (Technology)

<https://www.youtube.com/watch?v=cxuGmE-3VEw>



2. Strengths and Weaknesses

Exploring internal strengths and weaknesses

Ignore whether they are potentially positive or negative

The focus is to inventory the attributes of the business

(relative positivity or negativity is a function of the external environment)

Explicitly spell out the situation with a detailed phrase or a sentence

(Don't settle for one- or two-word descriptors like "price" or "technology.")

For generating recommendations:

consider each external factor's relationship to each internal factor

Complete this sentence:

Given the condition of[external factor], the business' ability to
.....[internal factor] leads to our recommendation that we
.....[recommendation]

Ex: Given the condition of Indian culture/ vegetarian culture [external factor], the
business' ability to find a variety of vegetarian inputs [internal factor] leads to our
recommendation that we introduce more vegetarian recipes to KFC in India
[recommendation]

Some external factors will not readily apply to certain internal factors: they might not lead to a recommendation.

Yet, given enough time or with a creative group working on this analysis, a business might develop options that you would not expect to reach, based on combinations of external factors and internal factors_____

Ex: external factor: economic recession

Traditionally conducted SWOT analysis;

S: Price: the firm's product costs less to purchase than the competition's

W : Price: people have less money to spend on the product

O: Price: the firm can afford to run a price promotion

T: Price: the competition can easily undercut what the firm charges

Ex: external factor: economic recession

Given the condition of current recession, our ability to realize cost savings over our competitors leads to our recommendation that we reduce our price

Relating external factor to another factor

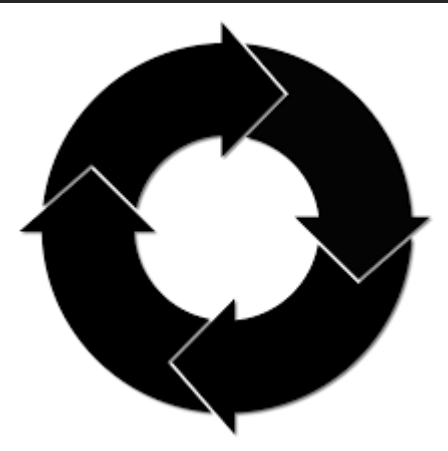
Given the condition of current recession, our ability to maintain strong relationships throughout our distribution channel leads to our recommendation that we offer discounts to our channel partners to help them

Relating external factor to weakness

Given the condition of current recession, our low brand recognition leads to our recommendation that we target this brand for reduced marketing support, in favor of our stronger brands

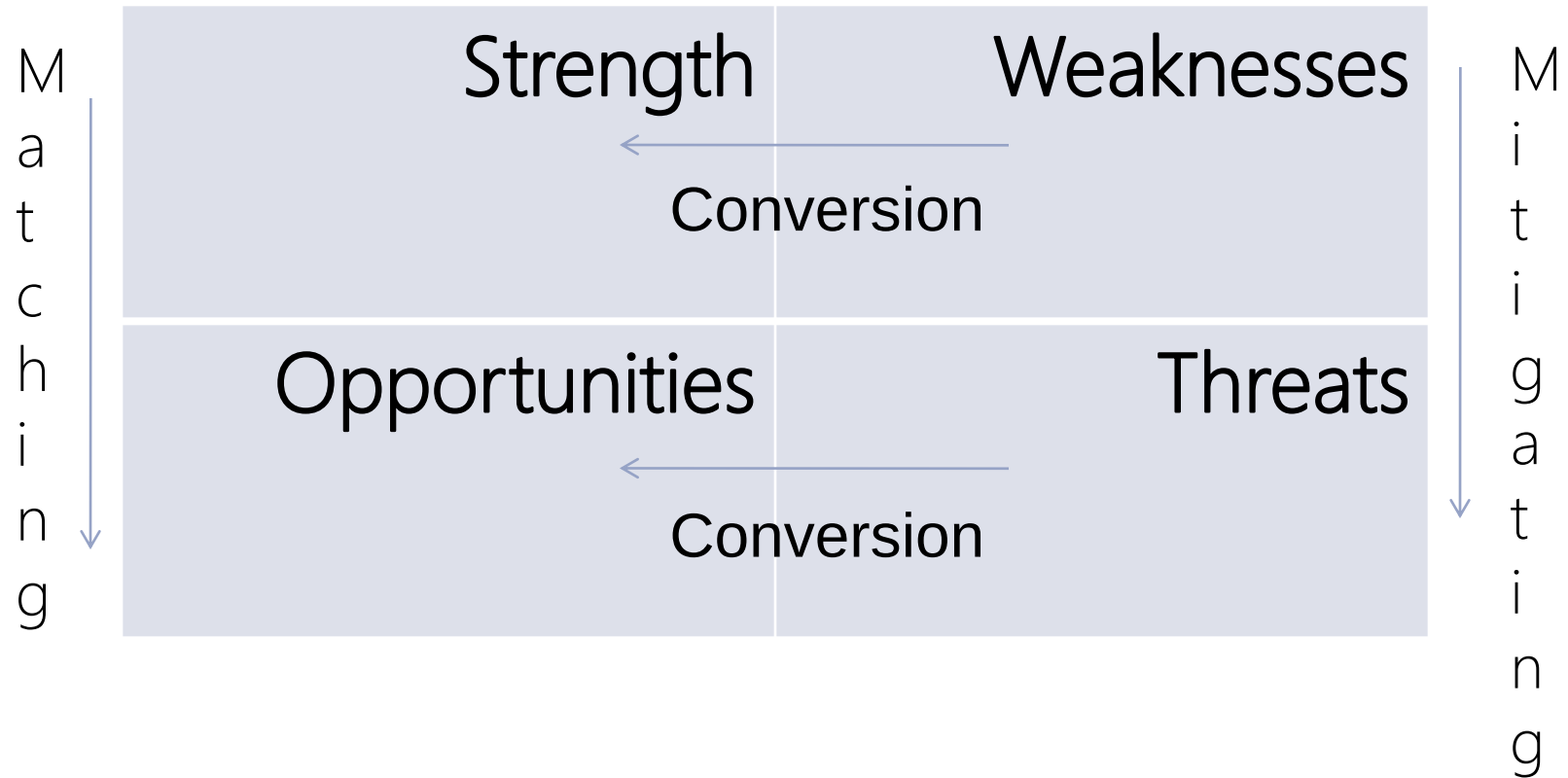
Summary:

New Approach to SWOT



1. Understand the industry competitiveness (Five Forces)
2. Figure out external factor; one at a time (PEST factors)
3. With the understanding of industry competitiveness, taking one PEST factor at a time, derive SW **in relation to** that factor and then see OT
4. Generate alternative strategies/recommendations (the recommendation can be even **just to continue** what business is already doing)
5. Evaluate the alternatives and select the best (need a feasibility study)
6. Implement and monitor/control
7. Check again the **reality** (PEST, Competition, all Stakeholders, you Assumptions about the business environment, Core competencies, etc.)
8. If it demands, start the cycle again

Corporate Appraisal (SWOT)



Disruptive Businesses

and Corporate Appraisal

Businesses can not keep changing every second to stay trendy; instead, **de-composing rends** to facilitate **learning** and **re-visiting strategies** is the best

Disruptive businesses have 2 things in common:

1. stay focused on **learning** outside of the business
2. **de-compose the trend** to frame **learning and strategy** based on S and W

Disruptive businesses always start from the **end of customer** and work inside to the business strengths and weaknesses

(**Making customer delighted** and without limiting itself by looking at strengths and weaknesses)

These **businesses are agile** and **willing to transform** themselves into what the external environment and customer wants

(checking the reality, adopting and make decisions)

Businesses will have to **leave some customers**, stay focused and introduce new things to run toward the future

How Disruptive Businesses do it?

By building learning and innovation as a core competency, a business can face uncertainty and allow to be more agile than competitors

Disruptive businesses **build core- competencies** around;

- Learning
- Problem-solving
- Innovation
- Use of information as a resource (in a meaningful manner)

What is a Core Competency?

Core Competencies

By Alexandra Twin

What Are Core Competencies?

Core competencies are the resources and capabilities that comprise the strategic advantages of a business. A modern management theory argues that a business must define, cultivate, and exploit its core competencies in order to succeed against the competition.

A variation of the principle that has emerged in recent years recommends that job seekers focus on their personal core competencies in order to stand out from the crowd. These positive characteristics may be developed and listed on a resume. Some personal core competencies include analytical abilities, creative thinking, and problem resolution skills.

KEY TAKEAWAYS

- Core competencies are the defining characteristics that make a business or an individual stand out from the competition.
- Identifying and exploiting core competencies is seen as important for a new business making its mark or an established company trying to stay competitive.
- A company's people, physical assets, patents, brand equity, and capital can all make a contribution to a company's core competencies.
- The idea of core competencies was first proposed in the 1990s as a new way to judge business managers compared to how they were judged in the 1980s.
- Examples of companies that have core competencies that have allowed them to remain successful for decades include McDonald's, Apple, and Walmart.

Understanding Core Competencies

A successful business has identified what it can do better than anyone else, and why. Its core competencies are the "why." Core competencies are also known as core capabilities or distinctive competencies. Core competencies lead to competitive advantages.

Core competency is a relatively new management theory that originated in a 1990 Harvard Business Review article, "The Core Competence of the Corporation."

In the article, C.K. Prahalad and Gary Hamel review three conditions a business activity must meet in order to be a core competency:

- The activity must provide superior value or benefits to the consumer.
- It should be difficult for a competitor to replicate or imitate it.
- It should be rare.

What is a Core Competency?

You Tell Me

Information and Competitive Advantage

Role of Data and Information in
this era of business

How can data and information assist in building a core competency/and a competitive advantage for a business or for a business to become a disruptive business?

How to use data/information to become a disrupter?

How to use data/information to make a business agile?

How to use data/information to create a CA?

big data, data mining, data science, data analytics, people analytics, sentiment analysis, machine learning,....

What is Competitive Advantage?

Competitive Advantage

Reviewed by Will Kenton: Updated Feb 22, 2019

What is Competitive Advantage?

Competitive advantages are conditions that allow a company or country to produce a good or service of equal value at a lower price or in a more desirable fashion. These conditions allow the productive entity to generate more sales or superior margins compared to its market rivals. Competitive advantages are attributed to a variety of factors including cost structure, branding, the quality of product offerings, the distribution network, intellectual property and customer service.

Competitive Advantage

BREAKING DOWN Competitive Advantage

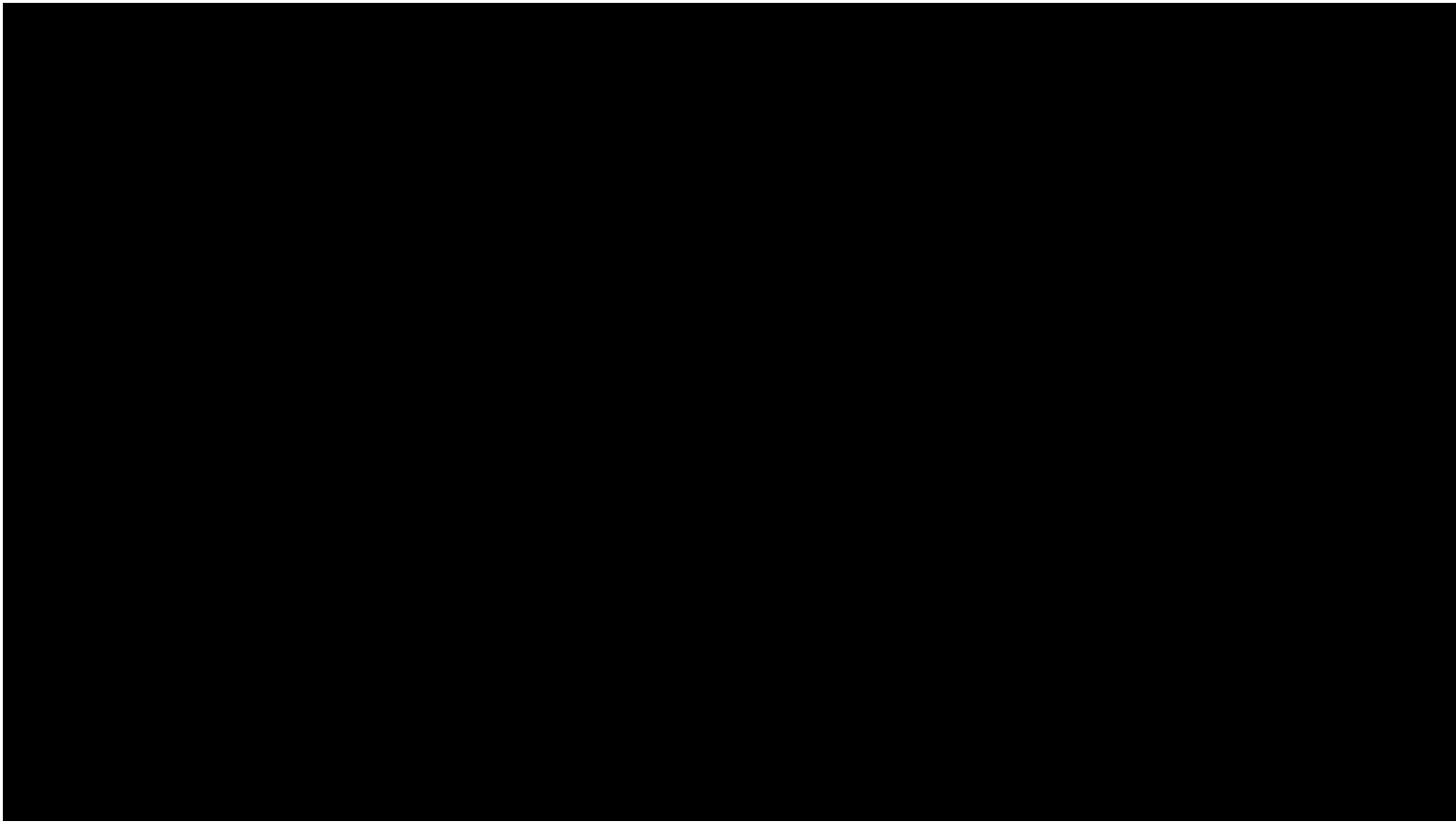
Competitive advantages generate greater value for a firm and its shareholders because of certain strengths or conditions. The more sustainable the competitive advantage, the more difficult it is for competitors to neutralize the advantage. The two main types of competitive advantages are comparative advantage and differential advantage.

Comparative Advantage

A firm's ability to produce a good or service more efficiently than its competitors, which leads to greater profit margins, creates a comparative advantage. Rational consumers will choose the cheaper of any two perfect substitutes offered. For example, a car owner will buy gasoline from a gas station that is 5 cents cheaper than other stations in the area. For imperfect substitutes, like Pepsi versus Coke, higher margins for the lowest-cost producers can eventually bring superior returns.

Economies of scale, efficient internal systems and geographic location can also create comparative advantage. A comparative advantage does not imply a better product or service, though. It only shows the firm can offer a product or service of the same value at a lower price. For example, a firm that manufactures a product in China may have lower labor costs than a company that manufactures in the U.S., so it can offer an equal product at a lower price. In the context of international trade, economies of scale and geographic location determine comparative advantage.

What is Competitive Advantage?



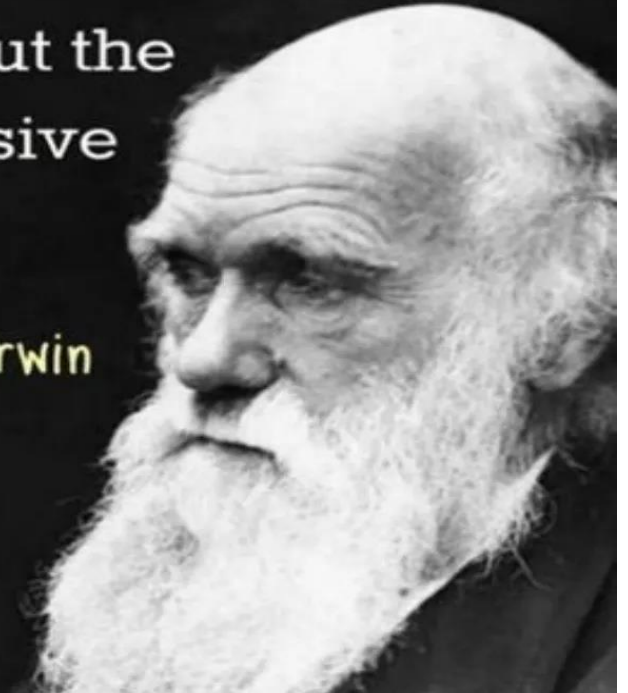
Be a disruptor:
a way to slowly acquire a
market

HBR explains



It is not the strongest species that survive, nor the most intelligent, but the most responsive to change.

-Charles Darwin



What happened to Blockbuster?



The PLOT analysis for a disruptive business environment

PLOT :

People
Learning
Opportunities
Transformation

PLOT analysis is all about reverse engineering

It starts with a focused vision of the future; a dream

- **Dream**, at a high level, about the outcome you're trying to achieve, what **people** you will need to meet customer needs and how those people will be motivated to follow your vision of the future
- **Discover** what it will take to serve the end-user. **Learn** about customer needs and your unique value proposition; do you have the right people in the right places to learn?
- Reach outside your organization to **Design** co-created, socially constructed strategies to take advantage of **opportunity** by **innovating strategies, business models, products, services, solutions and pricing**.
- **Deliver** on the vision and **transform** the business, reflecting on wins and losses, then iterating on that knowledge to recast your dream and start the process over again (may be a ToB)

The PLOT analysis for a disruptive business environment

PLOT analysis is all about reverse engineering

A disruptive business will not get stuck in SWOT analysis; instead,

- Stay ahead of competition
- See learning as an investment not a cost
- Do reverse engineering from customer to business

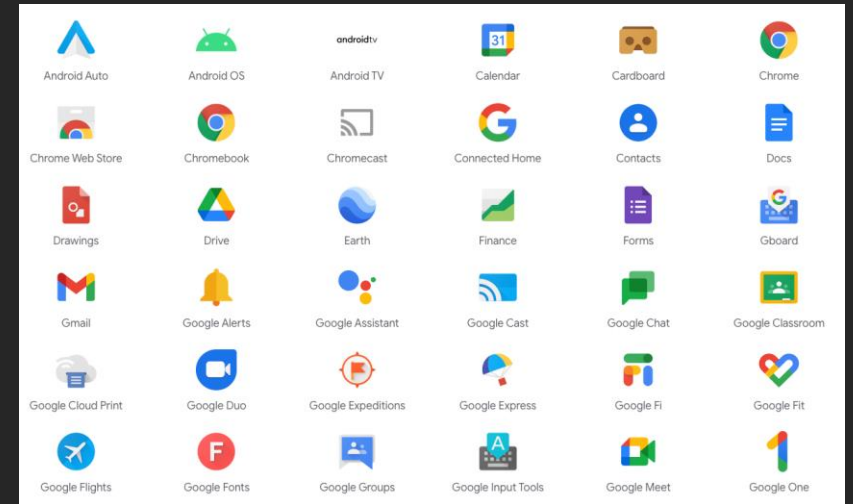


Disruption happens when a business is quick enough to make tough decisions and grab the opportunities which keeps it ahead of competition



Companies keep it secret

They will not publish all what they do
We do not exactly know their SWOT



Do it yourself and learn

SWOT Analysis for well known companies



SWOT and Business Success

A corporate appraisal guides a business in making decisions on every aspects of the business

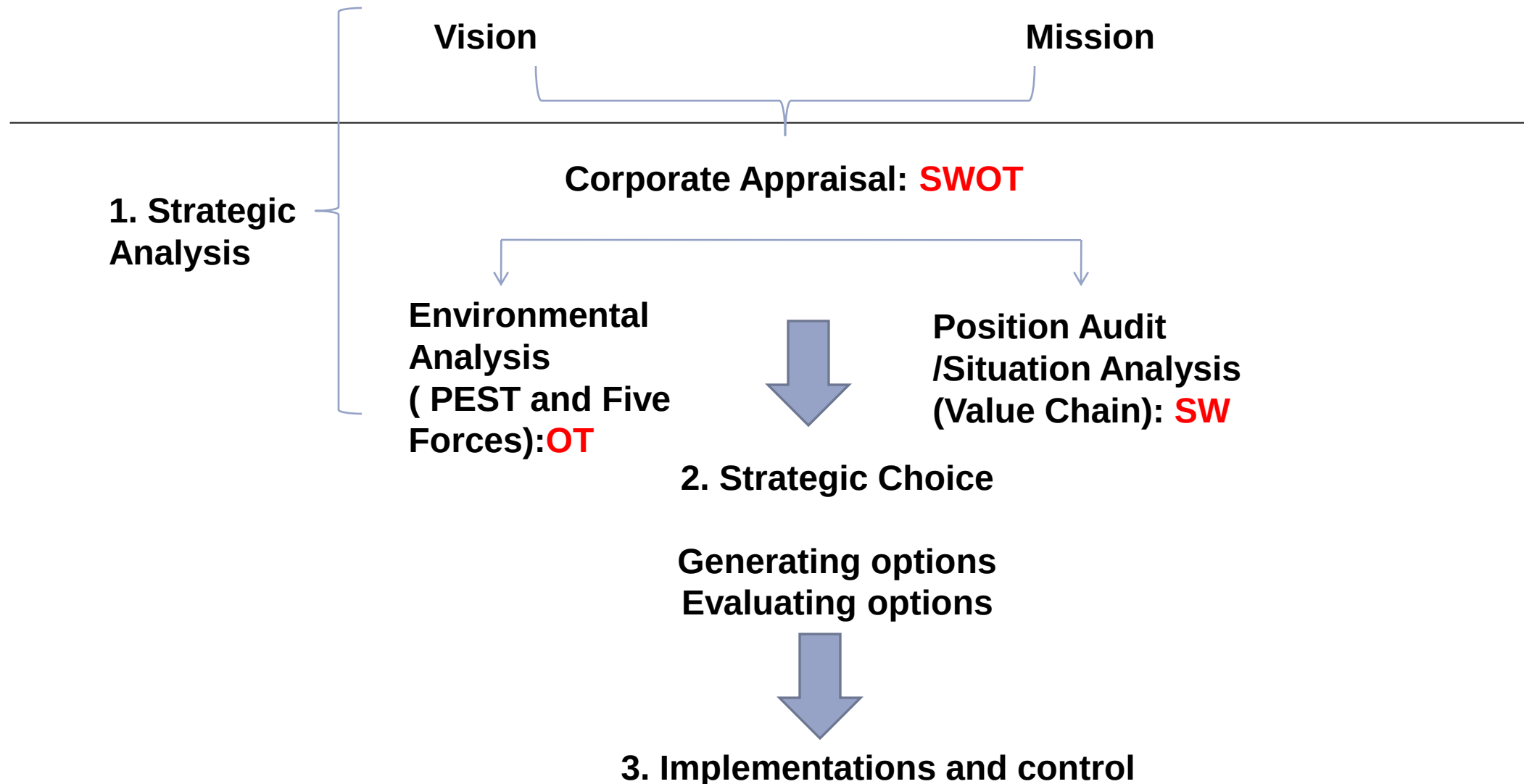
A clear understanding of SWOT will make a business to capitalize on every scenario

Together with stakeholder analysis, a thorough SWOT analysis will create a wining business which always create and deliver values to its stakeholders

In-class Questions

1. Identify key characteristics of a disruptive business.
2. What is PLOT Analysis?
3. How disruptive businesses do PLOT Analysis?
4. Explain the meaning of competition put forwarded by Michael Porter.
5. Explain factors determine the Five Forces for an industry.
6. How IT can be used to facilitate and generate more meanings for Five Forces Analysis?
7. What are the main characteristics of the Social Era of Business?
8. Given the understanding on the Social Era of Business, observe any issues in Value Chain Analysis.
9. Using examples, explain how a business truly can be customer centric while serving a mass market.
10. Explain how businesses can misunderstand, misinterpret and misuse Cost Leadership strategy and thereby take a risk in business.
11. Explain the Focus Strategy with examples. Explain the issues with conventional understanding of Focus Strategy in an AI driven world.
12. Explain how Social Era of Business can maximize the use of Ansoff's Product Market Matrix as a strategy.
13. Explain the challenges and opportunities available for a Startup Company if they understand the fundamentals in the Social Era of Business.

Strategic Planning Model for Businesses

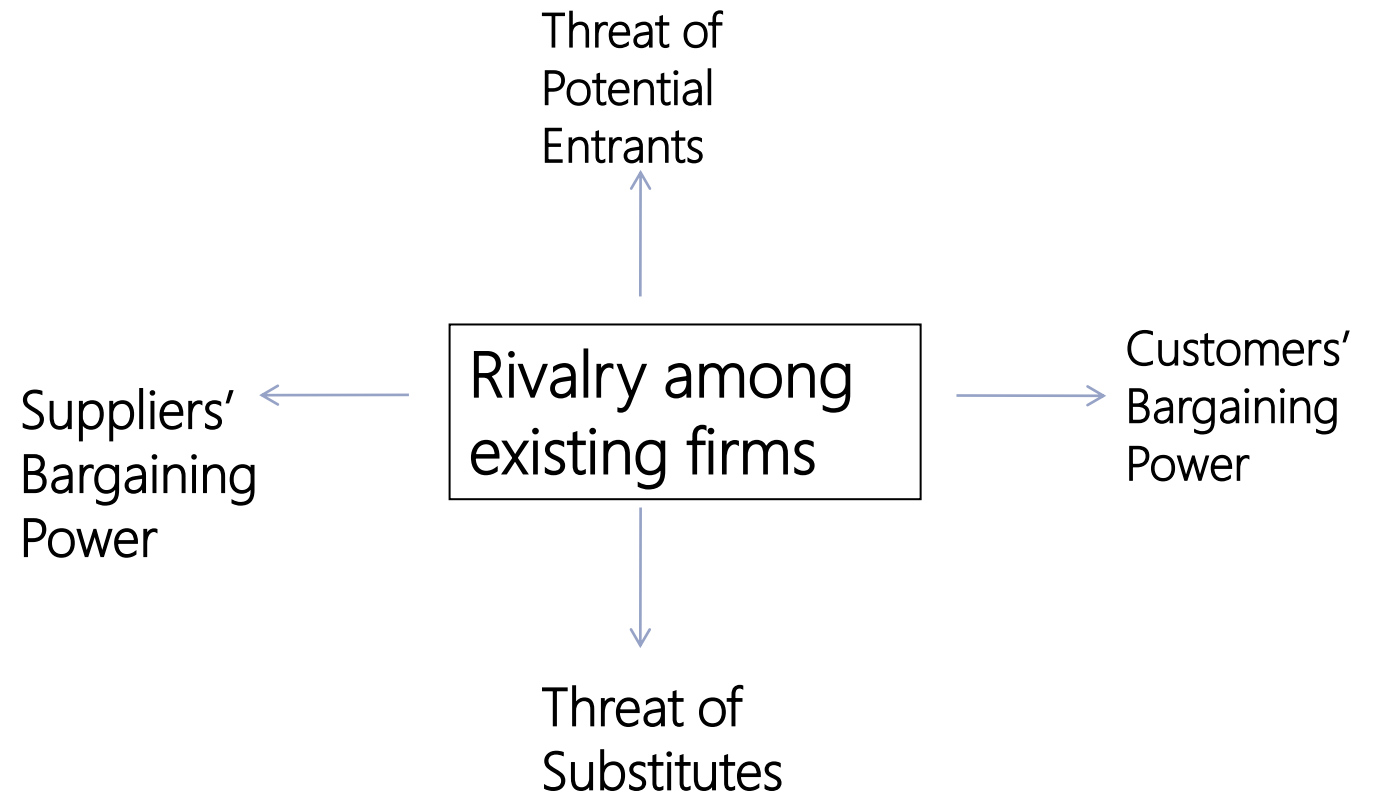


Environment Analysis (OT)

1. Five Forces



The essence of strategy formulation is coping with competition



What is competition, how it influence **profitability** (current/future): **Competition $\neq$ Competitor**
A broader way of looking at the competition in an industry:

Competition that influences profitability of a business (there are more competitors than you think who can influence your profitability)

Prominence and the active level will depend upon the industry

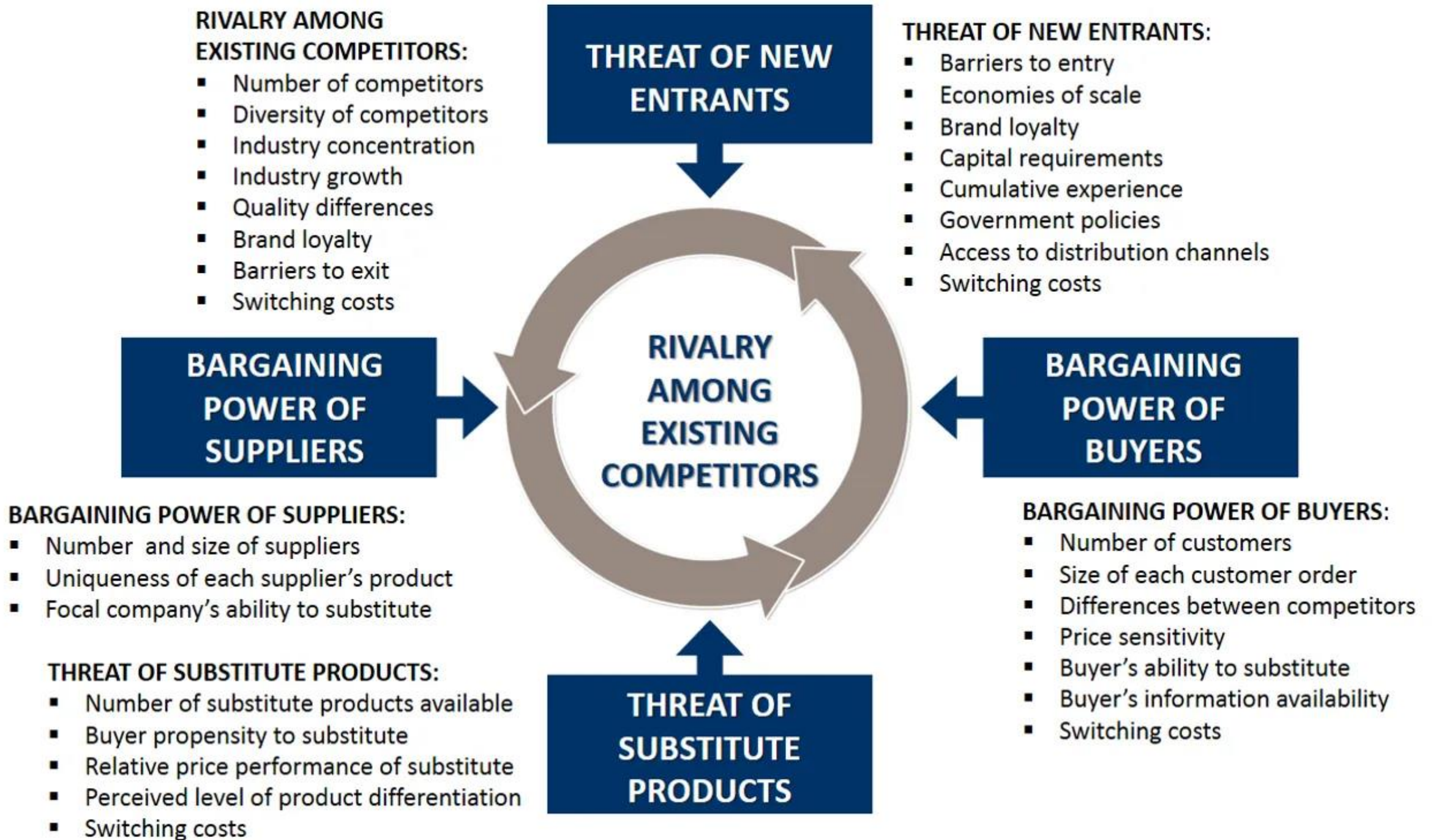
The collective strength of the Five Forces determines the ultimate profit potential of an industry

The weaker the forces collectively, the greater the opportunity for superior performance (Profits)

A careful analysis of the industry competition will help a business to find where and how it can operate

What it gives a business;

- Identify critical strengths and weaknesses of the company (???? – compared to industry competition)
- Animate the positioning of the company in its industry
- Clarify the areas where strategic changes may yield the greatest benefits
- Highlight the places where industry trends promise to hold as opportunities or threats
- Help in considering areas for diversification [own supply chain, own distribution channel (Vertical integration)]



1. Threat of new entrants

- Bring extra capacity
- More competition

How to block?

1. Economies of scale
2. Product differentiation
3. Capital requirements
4. Switching cost (time, money, convenience)
5. Access to distribution channels
6. Other cost advantages – patents, Gvt subsidies, access to raw materials

Self-Readings

1. Barriers to entry
2. Barriers to entry in electronics

2. Customer bargaining power

Depends on;

- How much, how frequent the buying
- How critical to own business
- Standard product or specialized product
- Switching cost
- Customers' own profitability
- Ability to bypass or takeover the supplier
- Price awareness
- Quality concern- less price sensitive

3. Supplier bargaining power

Depends on;

- Monopoly or not
- Threats of new suppliers – less bargaining power
- How much rely on customer's business
- Specially designed for customer or not
- Switching cost

4. Rivalry among existing companies

Price competition

Advertising battles

Promotion campaigns

Product innovations

After sales services

Guarantees and warranties

5. Threat of Substitutes



- Ex: What happened to Kodak?
- Blockchain Replaced the conventional SIM Card
- Netflix in 10 years time

What do you know about?

eSIM cards

blockchain

How can telecommunication industry get affected from these consumer-minded innovations?

Question:

Supporting Five Forces Analysis : Role of IT

Additional Reading

<https://hbr.org/2012/02/why-porters-model-no-longer-wo>

"social media doesn't shift Porter's model, the social era surely does."

"organizations are feeling the social era all around them, but failing to notice how significant a change it has produced. Because it has shown up in bits and pieces, via freemium models, crowdsourcing, online communities, virtual workforces, social networks, and so on, it is easy to miss how much the overall context has changed for the way value is created."

<https://hbr.org/1979/03/how-competitive-forces-shape-strategy>

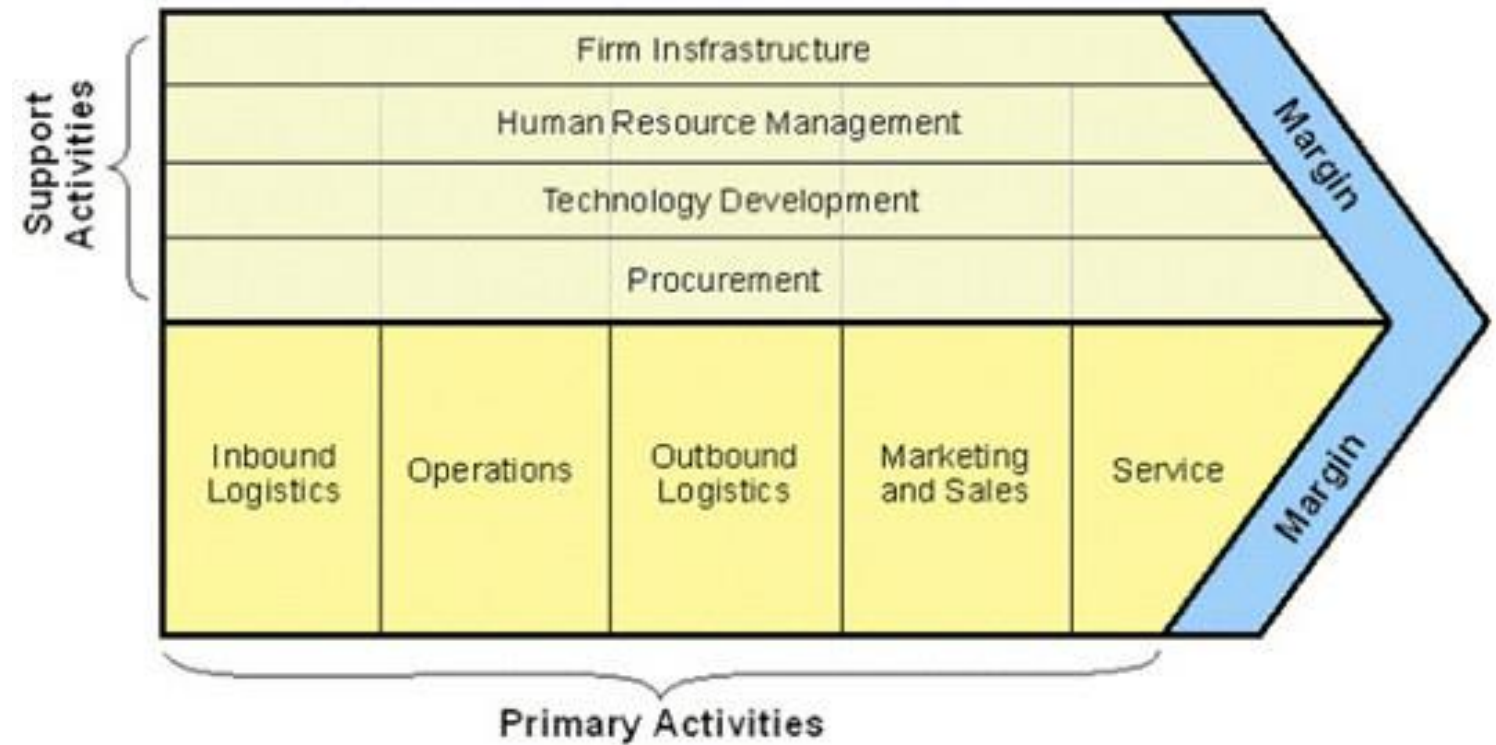
A discussion:

A comparison between SWOT and Five Forces

Position Audit/ Situation Analysis (SW)

Value Chain Analysis

Value Chain for Tech
Industry????



**All activities in the business at once, see which one adds value, which can thicken profit margin:

What should the business focus more on?

Primary Activities

Directly relevant in creating the product

Inbound logistics- receiving, storing externally sourced materials

Operation – converting input to output

Outbound logistics - reaching output to buyers

Mkt and sales – informing about the product

Services – maintenance of product performance after the sale

Support Activities

Procurement- how resources acquired (sourcing and negotiating with suppliers)

HRM – recruitment, development, motivation, etc.. of workforce

Technology development – managing, developing and processing information and knowledge

Infrastructure – support services : Finance, Planning, QC

Linking value chain to competitive advantage

Strategy	Approach to achieve competitive advantage
1. Differentiation with high quality concern	1. Perform all the activities by the company itself
2. Cost leadership	2. Reduce cost involved in activities by: outsourcing

How to analyze?

Step 1 : Categorize activities

Step 2 : Assess activities to see potential value adding with **where the business has competitive advantage and disadvantage**

Step 3 : Determine strategies to focus on activities which give competitive advantages

Anything wrong with the Value Chain?

This social era: being fast, fluid, and flexible

Past:

Size of the business gave purchasing power

Being big used to enable high barriers-to-entry (economies of scale)

It keeps out potential competitors

When reaching out to customers: mass – media

Big companies had the dollars to buy the mass-market access to consumers

Now:

Capital requirements to enter markets declined

Marginal cost of reaching consumers is effectively zero

One-off production is not hard to do (no need of bulk production all the time/no need to enjoy economies of scale all the time)

Being big offers a much smaller advantage than it used to. **Being big is not enough anymore**

Social Era of Business

Being Generic vs Special/unique

Value chain was created at a time when being big and having scale was a key aspect to competitive advantage and profitability; but not anymore in social era of business

Take time and read the slide

Value Chain optimizes for efficient delivery of a known thing. Organizationally it means Z follows Y, which follows X.

Value chain carries with it one fundamental assumption:

“customers are tangential to the business process (customers go inline/parallel to the value process)”

- Undifferentiated things are widely available
- Everything that is undifferentiated is going to be delivered in ever more efficient, low-cost ways

Ex: Amazon, e-Bay

“Porter’s value chain is well suited for the mass-market, cost-driven approach, where customers remain at the end of the value chain”.

Customized offerings are for all

No more way of charging higher from few individual customers

“Businesses wanting to thrive in the social era, being distinct is key to both profitability and winning. While there has always been a market for custom-made, differentiated items, until very recent, the market served a tiny fraction of the rich.

But today, both macroeconomic forces, and technological advances mean that **customized products aren't just for the one percent**. Instead, **customized products and experiences can be for everybody”**

Business Rules in Social Era



To change from;

Less-profitable generics to more-profitable distinct

#tweetwalk - Burberry: London Fashion Week (2011)

Direct campaign with an everyday consumer (not just the editors and fashionistas) to showcase their new line letting users to tweet about what they liked (or didn't)

It created an immediate signal between the company and its broad users

All personal preferences were captured at once:
Reaching out to individuals is much easier: Profitable distinct (distinct for all)

What is your thought about it?

What are the other ways a fashion design company operate in Social Era
to be distinct yet profitable at mass scale?

Possibilities are endless (beyond likes and subscribe):



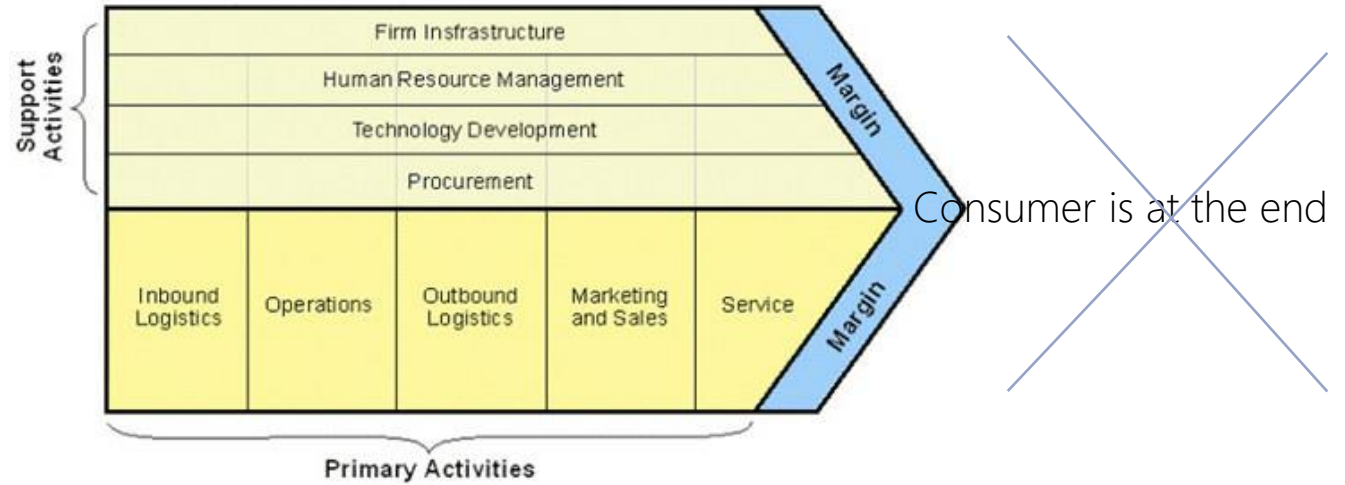
Runaway video- click and order online

A company can produce only what was ordered, thus reverse their supply chain to
produce only what is already sold

Can allow customers to request in particular colors at premium prices

Social Era gives companies more control to operationally adjust their offers and capitalize even on weak market signals (by capturing, collecting and amplifying even weak signals- not that so special customer/requirements/specification even)

Truly being Customer Centric



Not at the end of the value chain

Being truly customer centric:

- Capture each customer's preferences
- Change rigid planning and production systems to a responsive system
- Being flexible and creating more profitable cycles

Once a business figured out how to shape their design, production, and manufacturing cycle from rigid planning and production systems to unique customer-driven experiences, it will design a way to respond in smaller yet ensuring more profitable cycles

By allowing signals to direct production, there's an opportunity to learn immediately what the market responds to.

Social era rewards businesses that are fast, fluid, and flexible

- Businesses can be in a constant conversation (with customers) to learn what is working and what is not, and then adapt.
- Thereby adjust the process
- It is all about as much as know how to learn and discover what works for the business growth
- Giant companies dominated at a time when companies needed and used more capital to create economies of scale
- The value chain then was all about profit maximization through vertical integration
- To run giant businesses, leaders had to focus on being big enough to enable scale specific benefits to realize and to block others (being big ensured profits)
- Once the business is too big, it may displace all
- But the social era demands something more of businesses to be profitable
- **Something that is qualitatively different**
- **The social era rewards the businesses that are fast, fluid, and flexible**

At the exam:

How to be profitable and distinct to a mass market in Social Era of Business?

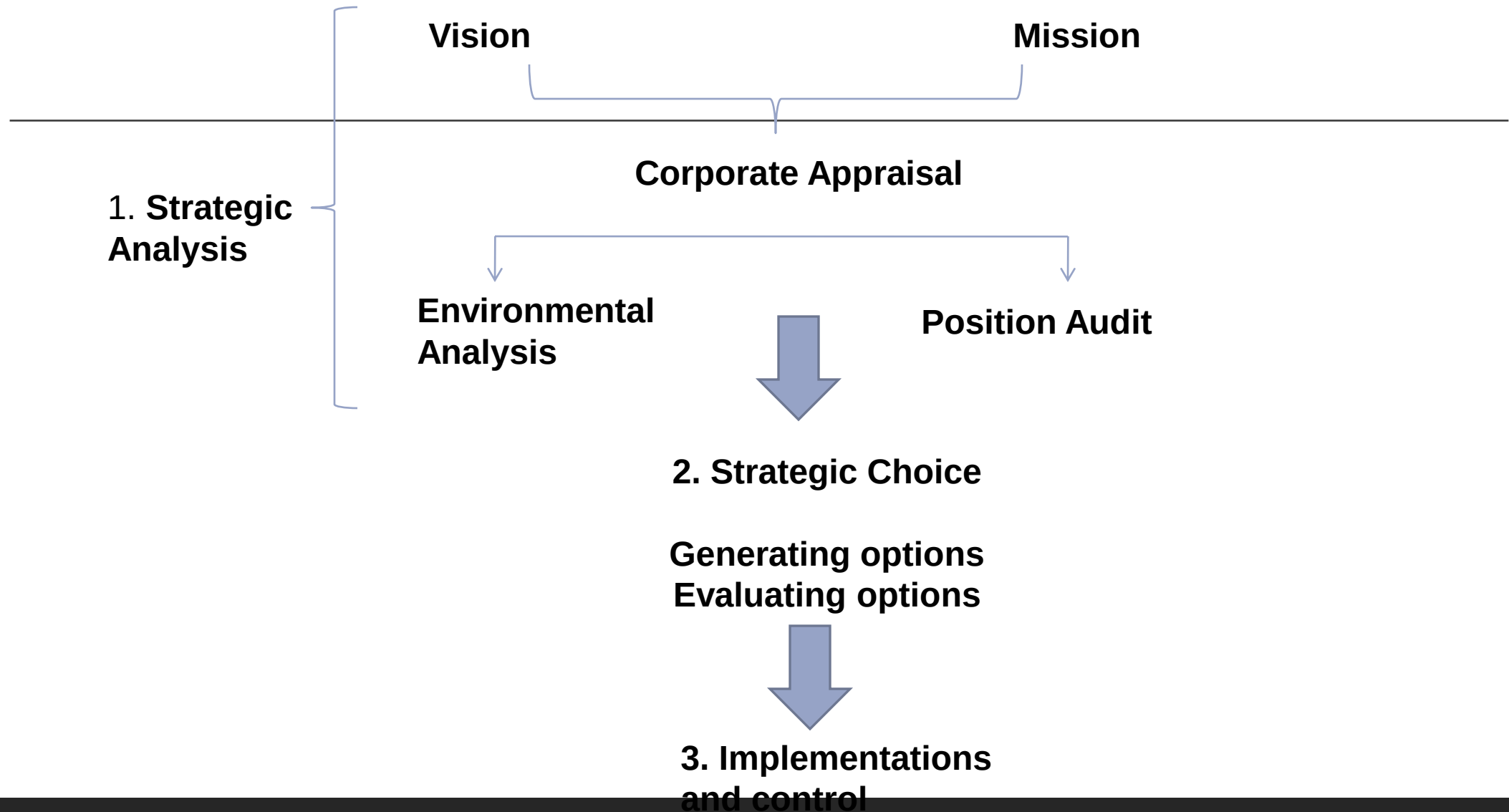
(distinct/specialized does not mean that a business should serve only a little amount of customers/a narrowly defined segment)

From being distinct/specialized/differentiated/mutually exclusive to being profitable:

what matters is being flexible, adaptable, able to learn, able to check business reality, being disruptive, reaching out to figure out customer needs, understanding that “uniqueness” is for all not only for premium customers only – Social era allows to do all these even for startup companies.

Every single business has an opportunity to be unique yet serve to the mass market and be profitable

Strategic Planning Model



1. How to compete

- Choice of competitive strategy to gain competitive advantage
- Ultimate solution depends on the circumstances

“Generic Strategies”

Generic Strategies

1. Cost leadership

2. Differentiation

industry-wide strategies

3. Focus (focus on niche/a segment):

cost focus

differentiation focus

Strategy : Cost leadership

Beat the competitor on cost

End result: Offering at lower price compared to others

Strategy: Cost Leadership

Courses of actions: Reduce all or selected cost items in the process (input, production, distribution, other services like promotion)

Series of actions/tools: invest in new technology- efficient logistics

Cost on labour, materials, facilities keep low

Need a continuous and close monitoring of all cost elements and try to reduce

1. Cost Leadership Strategy

Should have a higher market share

How to achieve?

Reduce overhead cost

Use technology to reduce unit cost

(CAD, CAM, Home-working, Robotics, digitizing, AI)

Exploit learning curve

(specialization, lower average cost)

Access to sources of supply

Improve productivity

Economies of scale

1. Cost Leadership Strategy

Should have a higher market share

How to achieve?

Reduce overhead cost

Use technology to reduce unit cost

Access to sources of supply

Economies of scale

In this social era of business, scale is not the competitive advantage force. Creativity and awareness (use of data/information) are the generators for businesses

Cost leadership: Where companies can go wrong?

Strategic perspective of cost leadership is lost

Somehow cost cutting had become the mission

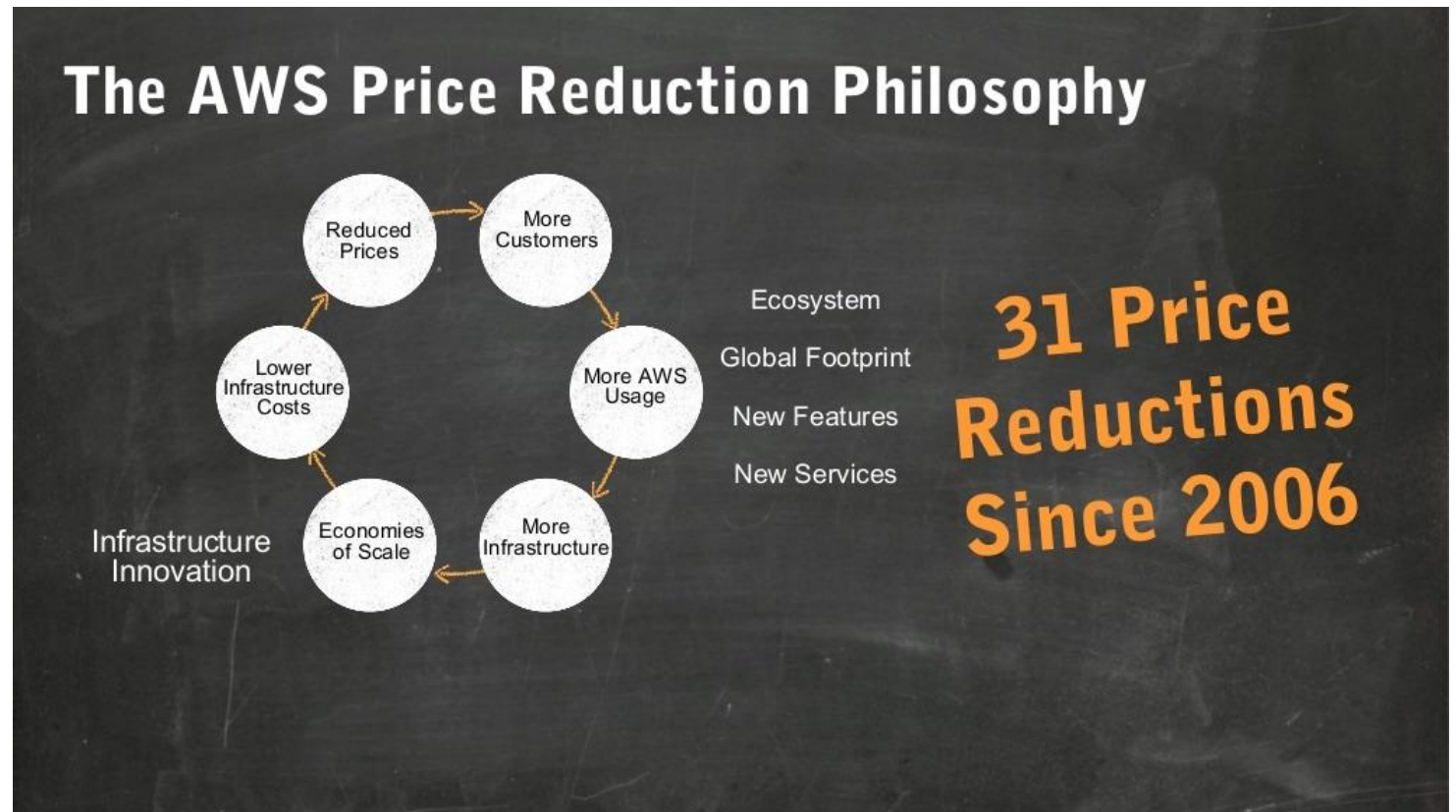
Forget the quality elements that first of all customers attracted to



"The promise of low cost"

What comes to customer mind

- Low cost
- Convenient
- Only solution to access some products



Strategy :Differentiation

Beat the competitor on attractive/unique features

Ex: unique product features, unique facilities, excellent customer services or simply the brand image will work

Creativity, figuring out **customer needs in advance**, **staying in ahead** are essential

How to be profitable and distinct to a mass market in Social Era of Business?

(distinct/specialized does not mean that a business should serve only a little amount of customers/a narrowly defined segment)

From being distinct/specialized/differentiated/mutually exclusive to being profitable

Differentiation Strategy

How to differentiate;

Build up a brand image

Include special features

Exploit other activities of value chain

Strategy: Focused Producing for a Niche Market

Essential: A deeper understanding on the niche: needs, better profiling, untouched need points

Focused strategy alone is not enough to beat the competition; thus need an aim within the niche;

1. Cost focus – cost leader of the segment
2. Differentiation focus – differentiation in the selected segment

“Focused to the small segment, more secured” – But the social era of business challenges this

Strategy: Focused Producing for a Niche Market

Disadvantages:

Scarifies economies of scale

Competitors may come if attention came (Japan hits Mercedes and BMW of US)

Segment's need may become less distinct with the time (socio economic factors will influence the segment and make the gap narrower)

Ex: men and women clothing

Harvard i-lab

Harvard Business School
Innovation Lab

Listen to free lectures



Hi **STARTUP SECRETS** Harvard innovation lab @innovationlab Michael J Skok @mjskok Startup Secrets #startupsecrets **GTM: Strategy** startupsecrets.com

Startup Secrets - Series

February 4:	Have You Got What It Takes
February 13:	Go To Market Part 1: Strategy
March 4:	Go To Market Part 2: Tactics
March 11:	Building Products Into Companies
March 25:	Go To Market Part 1: Strategy
March 25:	Go The Distance

2. How to grow

“Product - market mix”
– Ansoff Matrix

The new era is;
“Product - market FIX”

Describes;

How combination of activities with products can lead to growth of the business

		Product	
		Present	New
Market	Present	Market penetration (Try to grow with what is already having)	Product development (Try to grow using something new)
	New	Market development (Try to grow by reaching out to new customers with existing one)	Diversification (all new)

1. Market Penetration (present product-present market):

How to do?

- Increase, maintain market share –
pricing, advertising, sales promotion
- Secure the dominance in markets
- Driving out competitors
- Increase the buying of existing customers (making them loyal)
(Ex: loyalty cards)

2. Market Development (present product-new market):

How to do?

- New geographical areas and export
Ex: telecommunication companies to new countries/regions,
Radio stations new transmitters
- Different pack sizes
- New distribution channels targeting new customers
- Differential pricing policies for different customers
Ex: software pricing models : Saas, B2B, B2C

3. Product Development (new product-present market):

Benefits;

Can exploit existing marketing arrangements

Already gathered knowledge on customers

For competitors, high entry cost

Challenge;

High investment, therefore high risk

4. Diversification (new product-new market):

“Be clear about what is going to achieve”

May be;

Growth

Investing surplus funds

Related diversification

Unrelated/Conglomerate diversification

Related diversification

1. Horizontal integration:

Development into;

competitive

complementary activities

2. Vertical integration: Becomes own supplier or distributor

Unrelated / Conglomerate diversification

No clear relation to present market

Benefits

- Risk spreading
- High profit opportunities
- Can use surplus cash
- Exploit under-utilized resources
- Can use company image
- Financial advantages (tax losses)

Diversification and synergy;

Marketing synergy – common facilities

Operating synergy – bulk purchases

Investment synergy

Management synergy

Challenges

Diluted EPS

Lack of common identity and purpose

Failure of one can drag to another

Needs management expertise

Shareholder unwillingness due to other options

3. Methods to grow

Organic growth/Internal development

Acquisitions

Merges

Joint ventures, alliances, franchising

Startup Companies

Let's derive
lessons

Business Strategies for Startups:

"Brand matters"

Why Brand matters?

For startups, it is all about;

Founders, their philosophy, their definition of business/profits/growth,
etc

Brand Essence Framework *(source: HBS- Hi lab)*

Brand Essence Framework

Vision What about the world is changing that makes us necessary?

Promise What do we promise to customers at the most fundamental level?

Attributes



What makes us distinctly valuable to our customers? How do we achieve over and over?

Brand of solutions or the company itself

Emotion

What does it feel like to engage with us?

Personality

If we were a person what would we be like?

Style

How would we present ourselves to the world?

Michael Skok



Brand Essence Framework

1. Vision: what about the world is changing that makes us necessary? (the justification for your business' existence/need)

2. Promise: what do we promise to customers at the most fundamental level?

- A practical promise: setting a realistic bar of promise

Ex: Low cost, high coverage data plan may not be practical

Premium and wider coverage

Low cost and low coverage

The customer can select between

A startup company can take a slow move: promising one simple thing at a time and move forward

Maintaining the credibility is the essence: Less promised and over delivered will delight the customer

Making business uniqueness spread

Let customers echo back their experience : Proving your uniqueness with evidence is a strong approach to building your brand

A startup should never go wrong in reading own analysis, instead collecting customer feeling is the best as it reveals the TRUTH/REALITY

Define the business' uniqueness:

Never early, never late: claim/make available your business' uniqueness at the right time (if early, no credibility, if late, others will define your brand/business and challenging/breaking that image is really hard)

3. People consume/buy for emotional reasons : colours, shapes, places etc. all define customers' emotional attachments to their buying decisions

Figuring out this emotional attachment that brought customers to the business is essential

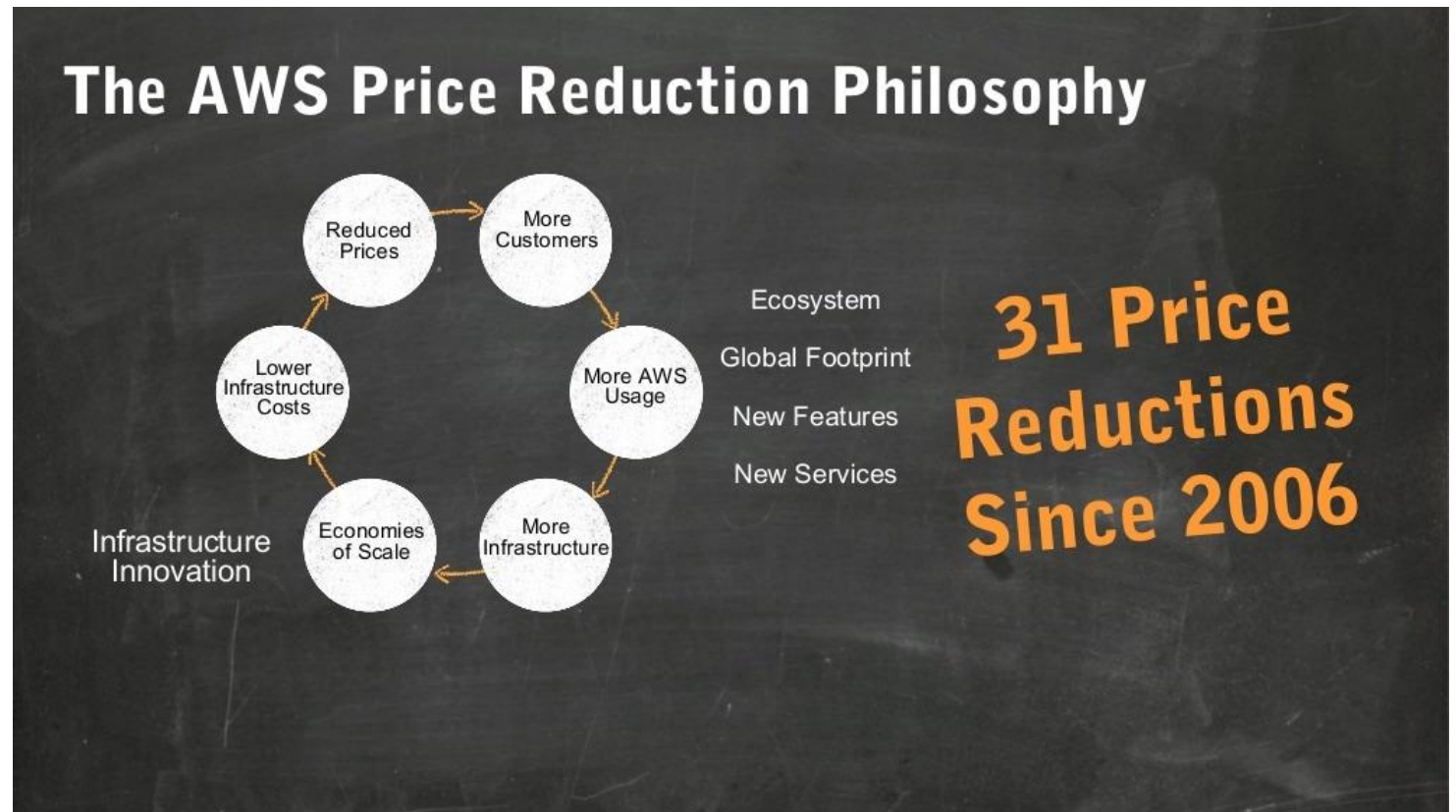
However, branding should not limit to customers: always refer to the business' stakeholders at all levels.



"The promise of low cost"

What comes to customer mind

- Low cost
- Convenient
- Only solution to access some products





"Start how you mean to end"

The Apple Marketing Philosophy

Empathy

We will truly understand their needs better than any other company.

Focus

In order to do a good job of those things we decide to do we must eliminate all of the unimportant opportunities.

Impute

People DO judge a book by its cover.

We may have the best product, the highest quality, the most useful software etc.; if we present them in a slipshod manner, they will be perceived as slipshod; if we present them in a creative, professional manner, we will *impute* the desired qualities.

Empathy:

Focus:

Impute: People assign values/make judgments

That is why Apple is so serious about their packaging, layout of products

Mike Markkula
January 3, 1977



“best product matters for saving the planet”.

Lasting products

Own your own jacket than owning a new jacket:

Conscious consumption

Reduced impulse purchases



COMMON THREADS INITIATIVE

REDUCE

WE make useful gear that lasts a long time
YOU don't buy what you don't need

REPAIR

WE help you repair your Patagonia gear
YOU pledge to fix what's broken

REUSE

WE help find a home for Patagonia gear
you no longer need
YOU sell or pass it on*

RECYCLE

WE will take back your Patagonia gear
that is worn out
YOU pledge to keep your stuff out of
the landfill and incinerator



REIMAGINE

TOGETHER we reimagine a world where we take
only what nature can replace

patagonia
patagonia.com



Lasting products

Startup Companies

These are all the
lessons

- Define your promise
- Stay true/consistent to your promise as a business/product
- Establish your uniqueness (never late)
- Prove your uniqueness/ credibility: (never late never early): let customers echo to the industry
- Keep checking reality
- Keep re-defining the ToB for your business

All strategies draw back to Reality
checking and deciding on ToB